

GEMS UNCOVERED

Weekly Market Memo | Monday, May 11, 2026 | Supplement to video update

MARKET SNAPSHOT — FRIDAY CLOSE (MAY 9, 2026)

Bitcoin (BTC)	\$80,640	Ethereum (ETH)	\$2,324
S&P; 500	~7,396	Nasdaq (NDX)	29,234
Gold (XAU)	\$4,713	Brent Crude	\$95.87
DXY	97.84	10-Yr Yield	4.36%

CRYPTO OVERVIEW

BITCOIN

BTC closed the week above \$80,600 for the first time since its Q1 correction, clearing a key technical pivot that has capped the rally since mid-March. Spot ETFs extended their inflow streak to five consecutive weeks, bringing the two-month total to approximately \$2.78B. However, cumulative ETF net inflows (\$58.7B) remain ~\$2.5B below the October 2025 cycle peak of \$61.2B — recovery is real but incomplete. On-chain, long-term holders from the 2-3 year cohort have been distributing into the ETF bid in near real time. Whether institutions are accumulating or absorbing exit liquidity is the central unresolved question.

Key levels: \$80,600 pivot (hold = bullish); \$85K next target; \$75K invalidation.

ETHEREUM

ETH traded in the low \$2,300s, roughly flat week-over-week. The institutional bifurcation story is the headline: BTC ETF inflows continued while ETH ETFs snapped their positive streak with net outflows for the week of May 1. DeFi TVL across ETH and its L2 stack remains healthy at \$68B, and approximately 33% of ETH supply is staked, constraining float. Price is still ~50% off the October 2025 peak. ETH historically follows BTC in institutional adoption cycles but with a lag.

Watch: \$2,300 support. Break below opens \$2,200. ETF inflow resumption is the catalyst needed for upside.

BROADER MARKET STRUCTURE

BTC dominance holds near 58.5%, a headwind for broad altcoin rallies. Altcoin ETF flows (XRP, SOL) were negligible last week after a strong mid-April surge. Fear & Greed has recovered from 26 to ~46 (Fear). The total crypto market cap has rebounded to ~\$2.81T from Q1's \$900B drawdown but remains below cycle highs. Liquidity is becoming more selective rather than purely speculative.

MACRO OVERVIEW

FED LEADERSHIP TRANSITION

Powell's term as Fed chair ends May 15. Kevin Warsh cleared the Senate Banking Committee on a party-line vote; full Senate confirmation vote could come as early as today (May 11). Warsh inherits a difficult mandate: Trump expects rate cuts, but core PCE is at 3.2% and headline CPI jumped to 3.3% in March, driven by the Iran war energy shock. Cleveland Fed hawks (Hammack, Kashkari, Logan) have been signaling no rush to ease. Powell is staying on the Board of Governors through at least part of 2028 — unusual, and adding political tension. Watch Warsh's first public remarks as chair for any signals on rate path.

HORMUZ / OIL / INFLATION

The Strait of Hormuz has been effectively closed to normal commercial traffic since late February, representing the largest oil supply disruption in IEA history (~20% of global seaborne oil trade). Brent peaked near \$114 mid-week before settling ~\$96 on partial de-escalation signals. Trump's 'Project Freedom' navy escort operation launched May 4, was paused May 6 on 'great progress,' then Iran rejected the US proposal over the weekend. Gold pulling back toward \$4,700 on ceasefire optimism but

rebounding when talks stall — following the geopolitical risk premium in real time. The inflation pass-through from elevated energy is the dominant macro input. April CPI (drops May 12) will be watched closely for signs of energy-driven re-acceleration.

EQUITIES & LABOR

April NFP printed at 115K, well above the 62K consensus. Unemployment held at 4.3%. S&P; 500 has posted five consecutive weeks of gains; Nasdaq above 25K for the first time; Russell 2000 at 2,861 with broad participation. Q1 2026 earnings growth: 27.1% YoY (highest since Q4 2021), with 84% of reporting companies beating EPS. AI capex narratives (Alphabet, Amazon, Meta) still intact. Consumer spending decelerated to 1.6% PCE growth in Q1 — a watch item for Retail Sales this week.

KEY EVENTS THIS WEEK (MAY 11-16)

Date	Event	Why It Matters
Tue May 12	April CPI (8:30 AM ET)	First inflation print after March's 3.3% shock; governs rate-path expectations for Warsh
Tue-Thu	Warsh Senate confirmation / transition	Full Senate vote expected; markets react to first Warsh remarks as incoming chair
Thu May 15	Powell term ends; Warsh takes over	Historic Fed chair handover; any public comment on rate path is market-moving
Thu May 15	Retail Sales (8:30 AM ET)	Tests soft-landing narrative; PCE deceleration in Q1 makes this a watch item
Thu May 15	Jobless Claims	Labor stability anchor; drifting higher would pressure small caps first
Ongoing	Iran ceasefire / Hormuz	Oil and gold remain hostage to weekend headlines; any escalation moves energy 5%+

RISKS TO WATCH

- **Hot April CPI** — Another 0.8-0.9% MoM print kills rate-cut hopes and pressures growth assets
- **Hormuz re-escalation** — Iran rejection of peace talks could push Brent back toward \$110-114
- **Warsh political pressure** — If he signals premature easing under Trump pressure, credibility hit to the Fed
- **BTC rejection at \$80,600** — Failure to hold this level invites re-test of \$74-75K
- **10-yr yield breakout** — A close above 4.50% compresses multiples across equities and crypto simultaneously

TAILWINDS / CATALYSTS

- **DXY weakness** — Dollar below both 50 and 200-day MAs; continued softness lifts hard assets globally
- **BTC ETF bid intact** — Five consecutive weeks of inflows; institutional floor is real even if incomplete
- **Hormuz de-escalation** — Any credible peace signal drops oil, gold, and inflation expectations simultaneously
- **Equities momentum** — 5-week streak, broad participation, AI earnings intact; risk-on backdrop supports crypto
- **Cool CPI print** — A softer April number opens the door for Warsh to be more dovish; DXY break accelerates

BOTTOM LINE

The path of least resistance for risk assets has been up since mid-April. Structural tailwinds (ETF institutional flows, dollar weakness, AI earnings, labor resilience) are real. Structural risks (hot inflation, Hormuz uncertainty, rate-cut expectations deferring, Fed political tension) are also real and not fully priced. That combination typically produces choppy but directionally positive action, until a catalyst breaks the balance. The three things that matter most this week: (1) April CPI tomorrow morning, (2) Warsh's first remarks as Fed chair Thursday, and (3) whether BTC holds \$80,600 on a daily close basis. Those three data points will tell you whether the current setup extends or resets.